Himaayah Schools
ACADEMY

FREE GUIDE

وَأَحَلَّ اللَّهُ الْبَيْعَ وَحَرَّمَ الرِّبَا

"And Allah has permitted trade and forbidden ribā." (al-Baqarah 2:275)

JAMB Commerce

A UTME study guide: trade, aids to trade, documents, insurance, business units, calculations and a practice test.

بِسْمِ اللَّهِ الرَّحْمٰنِ الرَّحِيمِ

Before you begin

Commerce in the UTME covers how goods and services move from producers to consumers, and everything that helps them along: trade, banking, insurance, transport, communication, documents and business organisations. Most questions test definitions and the differences between similar ideas, with a few short calculations. This guide gives you the syllabus, the key facts and formulas, worked examples, the traps to avoid, an 8-week plan and a practice test.

The UTME at a glance	
Subjects	Use of English and three subjects for your course. Commerce is accepted for accounting, business administration, marketing, banking and finance and many social science courses.
Questions	Use of English 60; each other subject 40; 180 questions in all, on computer (CBT).
Time	About two hours for all four papers, so roughly 40 seconds a question. You move freely between subjects.
Marking	Each subject is scored out of 100, for a total out of 400. There is no negative marking: never leave a question blank.

Check the official details

Exam rules and syllabuses can change from year to year. Always check the current JAMB brochure and the official Commerce syllabus on the JAMB website or e-facility portal, and follow them where they differ from this guide.

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Part 1 The syllabus at a glance

Study from the **JAMB syllabus**, not only from your school notes: every UTME question comes from a topic on it. The topics fall into these areas:

Area	Topics
Commerce and occupations	Meaning and scope of commerce; occupations (industrial, commercial, services); production and division of labour
Trade	Home trade: retail and wholesale, channels of distribution; foreign trade: import, export and entrepôt trade; documents of trade; terms of trade and payment
Aids to trade	Banking; insurance; transport; communication; warehousing; advertising and marketing
Business units and finance	Sole proprietorship, partnership, limited liability companies, cooperatives and public enterprises; capital and its sources; the stock exchange; mergers
Government and business	Consumer protection; trade associations and chambers of commerce; regulation; privatisation and commercialisation
Modern commerce	E-commerce, mobile money and electronic payments; information and communication technology in business; business ethics

Aids to trade and business units produce the most questions. Learn the documents of trade in their correct order, and the principles of insurance by name.

Part 2 Key facts and formulas

Documents of trade, in order

Document	Purpose
Letter of enquiry	Buyer asks about goods, prices and terms.
Quotation / price list / catalogue	Seller replies with prices and terms.
Order	Buyer requests the goods.
Pro forma invoice	Sent in advance, e.g. for payment before delivery, or for import licences.
Invoice	The bill: goods, quantities, prices, terms.
Delivery note / advice note	Accompanies or announces the goods.
Debit note / credit note	Debit note: increases the amount owed (undercharge). Credit note: reduces it (overcharge or returns).
Statement of account	Summary of transactions and the balance owed for a period.
Receipt	Proof of payment.
Bill of lading	Document of title for goods sent by sea.

Insurance and foreign trade terms

Term	Meaning
Utmost good faith (uberrimae fidei)	Both parties must disclose all material facts.
Insurable interest	You may insure only what you would lose by if it were damaged.
Indemnity	Compensation restores you to your position before the loss, no better.
Contribution	If insured with several insurers, each pays its share.
Subrogation	After paying, the insurer takes over your rights against a third party.
Proximate cause	The main, direct cause of the loss must be an insured risk.
FOB (free on board)	Price covers delivery onto the ship; the buyer pays freight and insurance.
CIF (cost, insurance and freight)	Price covers the goods, insurance and freight to the buyer's port.
Entrepôt trade	Importing goods in order to re-export them.

Business calculations

Item	Formula
Average stock	(Opening stock + closing stock) ÷ 2
Cost of sales	Opening stock + purchases − closing stock
Rate of turnover	Cost of sales ÷ average stock (at cost)
Gross profit	Sales (turnover) − cost of sales
Mark-up and margin	Mark-up = profit ÷ cost × 100; margin = profit ÷ selling price × 100
Capital owned	Total assets − external liabilities
Working capital	Current assets − current liabilities
Capital employed	Capital owned + long-term liabilities

Part 3 Sample questions, explained

Example 1. Opening stock ₦2,000, closing stock ₦4,000, cost of sales ₦18,000. Find the rate of turnover.
→ Average stock = (2,000 + 4,000) ÷ 2 = ₦3,000
→ Rate of turnover = 18,000 ÷ 3,000
Answer: 6 times

Example 2. A trader's current assets are ₦50,000 and current liabilities ₦20,000. Find the working capital.
→ Working capital = 50,000 − 20,000
Answer: ₦30,000

Example 3. Goods costing ₦800 are sold at a mark-up of 25%. Find the selling price and the margin.
→ Profit = 25% of 800 = ₦200; selling price = ₦1,000
→ Margin = 200 ÷ 1,000 × 100
Answer: ₦1,000; margin 20%

Example 4. The document sent by a seller to correct an overcharge on an invoice is a:
→ An overcharge reduces what the buyer owes: a credit note.
Answer: Credit note

Example 5. The principle of insurance which prevents the insured from making a profit from a loss is:
→ Indemnity restores the insured to the position before the loss.
Answer: Indemnity

Example 6. Importing goods in order to re-export them is called:
→ This is entrepôt trade.
Answer: Entrepôt trade

Example 7. A business owned by the government and run for public service is a:
→ Public enterprises (corporations) are owned by the state.
Answer: Public enterprise

Example 8. Which of these is a function of a wholesaler?
→ Wholesalers break bulk, store goods, give credit to retailers and carry risk.
Answer: Breaking bulk

Example 9. Under CIF terms, who pays the insurance and freight?
→ CIF includes cost, insurance and freight in the seller's price.
Answer: The seller

Part 4 Traps that cost marks

Trap	What to do
Debit note versus credit note	Debit note: the buyer owes more. Credit note: the buyer owes less.
Mark-up versus margin	Mark-up is on cost; margin is on selling price.
FOB versus CIF	FOB: buyer pays freight and insurance from the port. CIF: seller pays them.
Partnership versus company	A company has a separate legal personality and limited liability; an ordinary partnership does not.
Insurance versus assurance	Insurance covers risks that may happen (fire, theft); assurance covers events that will happen (death, under life assurance).
Outdated names	The Nigerian Stock Exchange is now the Nigerian Exchange (NGX); use current names where the question does.

Part 5 An 8-week plan

Start at least eight weeks before the exam. Each week: learn the topics, make short notes and solve past questions under time. Keep one day a week for revision.

Week	Focus	Practice
1	Commerce, occupations, production	Definitions; 30 questions
2	Home trade: retail, wholesale, channels	Comparison tables
3	Foreign trade and documents of trade	Learn the documents in order
4	Banking and money	Past questions
5	Insurance, transport, communication, warehousing	Insurance principles by name
6	Business units, capital and the stock exchange	Calculations drill
7	Advertising, consumer protection, e-commerce	Past questions
8	Full revision and mock exams	Two full timed papers

Exam-day reminders

Read every option before choosing. Eliminate the clearly wrong ones first.

Do not spend more than a minute on one question: flag it and come back.

Answer every question; there is no penalty for a wrong answer.

Check that your answers are saved before you submit, and keep an eye on the clock for all four subjects.

Test Practice test

Give yourself 10 minutes for these 15 questions, as in the real exam. The answers follow.

1. **Commerce is concerned with:**
   a) Extraction of raw materials b) Distribution of goods and services c) Manufacturing only d) Farming

2. **Importing goods in order to re-export them is:**
   a) Home trade b) Visible trade c) Entrepôt trade d) Barter

3. **The document that shows the balance owed at the end of a period is a:**
   a) Statement of account b) Quotation c) Delivery note d) Order

4. **Insurable interest means:**
   a) Paying a premium b) A financial interest in what is insured c) Insuring with two companies d) A claim

5. **The insurer taking over the rights of the insured after paying a claim is:**
   a) Contribution b) Indemnity c) Subrogation d) Proximate cause

6. **A limited liability company is owned by its:**
   a) Directors b) Customers c) Shareholders d) Employees

7. **Which middleman breaks bulk?**
   a) The wholesaler b) The consumer c) The manufacturer d) The banker

8. **Under FOB terms, the buyer pays:**
   a) Nothing extra b) Freight and insurance after loading c) Only the invoice d) Customs only

9. **Working capital is:**
   a) Total assets − total liabilities b) Current assets − current liabilities c) Fixed assets + current assets d) Profit − tax

10. **A document of title for goods carried by sea is the:**
    a) Bill of lading b) Air waybill c) Invoice d) Receipt

11. **Goods costing ₦500 sold for ₦600 give a mark-up of:**
    a) 16.7% b) 10% c) 25% d) 20%

12. **Advertising that aims to inform the public is called:**
    a) Competitive b) Informative c) Persuasive d) Mass

13. **Cooperatives are run on the principle of:**
    a) One share, one vote b) One member, one vote c) Highest bidder rules d) Government control

14. **Life assurance covers:**
    a) Fire b) Theft c) An event that is certain to happen d) Marine losses

15. **Payment made through a mobile phone or online is an example of:**
    a) Barter b) Electronic payment c) Hire purchase d) Bill of exchange

No.	Answer	No.	Answer
1	b) Distribution of goods and services	9	b) CA − CL
2	c) Entrepôt trade	10	a) Bill of lading
3	a) Statement of account	11	d) 20%
4	b) A financial interest	12	b) Informative
5	c) Subrogation	13	b) One member, one vote
6	c) Shareholders	14	c) A certain event
7	a) The wholesaler	15	b) Electronic payment
8	b) Freight and insurance		

Recommended textbooks

- **Commerce for Senior Secondary Schools** (the commerce textbook your school uses).
- Other texts listed in the current JAMB Commerce syllabus.
- **Past questions**: solve at least the last ten years' UTME Commerce questions, timing yourself, and study every one you get wrong.

Prepare with the Himaayah Academy

Live UTME, Post-UTME and O-Level classes with a personal mentor, daily tasks, weekly mock exams, CBT practice and a leaderboard, all online.

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وَمَا تَوْفِيقِي إِلَّا بِاللَّهِ

"And my success is only through Allah." (Hūd 11:88)

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From producer to consumer.

This free guide from the Himaayah Academy helps UTME candidates prepare for Commerce with the documents, principles and calculations the exam asks about.

- The Commerce syllabus in six areas
- The documents of trade, in order
- The principles of insurance and trade terms
- Business calculations with examples
- An 8-week plan and a 15-question practice test

Prepare with the Himaayah Academy

Live UTME classes with a personal mentor, daily tasks, weekly mock exams and CBT practice, all online.

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